

COLLECTIVE RECOVERY PERFORMANCE- MEMO

What happened?

The reported "recovery improved 11% month-on-month" claim does not hold up as stated. Raw payment data contains duplicate transaction retries and reversed payments that inflate reported recovery by 6-29% depending on the month, and this inflation itself shrank steadily across the year - meaning part of the apparent "improvement" trend in the raw numbers is shrinking data noise, not more borrowers paying. Once payments are deduplicated and reversals excluded, real recovery grew from ₹13.6 Cr (Jan) to ₹17.7 Cr (Jul 2026) - a genuine +30% cumulative increase, averaging +4.8% month-on-month with high volatility (range: -4.6% to +15.2%). No single month matches the reported "11%" figure; it appears to reflect either a cherry-picked month-pair or a calculation on uncleaned data. August 2026 is a partial month in the source data and must be excluded from any trend calculation. Critically, contact rate held flat at ~39% all year. The growth came from PTP rate (73.9% - 77.5%) and recovery-per-worked-account (₹6,904 - ₹8,922) rising -i.e. conversion quality improved, not calling volume or reach.

Why did it happen?

I tested all the drivers assignment specifies- most show no miserable effects (**an important finding itself**)

Driver	Finding	Confidence
duplicate/reversed payments	inflated raw recovery 6-29%, declining over the year	fact
Portfolio (risk-segment) mix	Stable ~25% per segment every month, both originated and worked — ruled out	strong evidence
Denominator manipulation	Targeting-queue status shares flat (~25% each) every month — ruled out	strong evidence
Campaign targeting strategy version	No measurable effect on PTP-kept rate or recovery/account, even stratified by risk segment	Hypothesis, not supported
Campaign targeting strategy version	No measurable effect on PTP-kept rate or recovery/account, even stratified by risk segment	Hypothesis, not supported
Agent tenure, calling time-of-day, attempt frequency	No measurable effect detected in available data	Hypothesis, not supported
Channel (Field/WhatsApp/SMS/Voice) contact rate	Field 66%, WhatsApp 60%, SMS 33%, Voice 20% — real, large spread	fact

Two structural data problems limited how far driver analysis could go, and are disclosed rather than papered over: (1) borrower_id is corrupted in ~98% of every event table and was re-derived via account_id; (2) agents.csv and borrowers.csv each contain far fewer real entities than rows, with randomized attributes per duplicate -tenure and demographic cuts built on these are inherently low-confidence.

How confident are we?

- HIGH confidence: the 11% figure is not supported by clean data; real growth is ~30% cumulative (Jan-Jul), ~4.8%/mo average, driven by conversion quality not volume.
- HIGH confidence: vendor, portfolio mix, and denominator manipulation are not explanations.
- LOW-MEDIUM confidence: no single operational lever (targeting version, agent tenure, calling time) explains the improvement - either the true driver isn't in the tested set, or the dataset doesn't encode it strongly enough to detect.
- LOW confidence on ROI sizing for the ₹10 Cr recommendation below - the dataset contains no cost fields; all unit economics are explicit, stated assumptions.

What should we do?

Recommendation: fund a phased pilot of AI voice automation (₹1.5-2 Cr), not a full ₹10 Cr commitment. Voice is 53% of all borrower touches but has the weakest contact rate of any channel (20% vs 33 66% elsewhere) - the largest, weakest lever available. Under explicit assumptions (₹3.5 Cr platform cost, ₹2/call marginal cost vs ~₹10 for a human agent, +5pp contact-rate lift), full-scale deployment does not break even in Year 1 or Year 2 against this ~30,000-account portfolio - the ₹10 Cr budget is structurally larger than what a single-channel conversion lift on this book can return. Recommended path: run a randomized pilot with a genuine control group, measure real contact-rate and recovery lift over 60-90 days, then commit the remaining ~₹8 Cr to scaling AI voice and/or WhatsApp/digital expansion (the next-best, lowest-cost-per-contact lever) based on measured results rather than assumption.

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What is the expected financial impact?

Pilot tranche (₹1.5-2 Cr): de-risks the full commitment and produces the causal evidence this dataset currently lacks. Full-scale scenario ranges (explicit assumptions, 12-month horizon): downside ₹2.6 Cr incremental recovery (ROI -74%), central ₹5.0 Cr (ROI -50%), upside ₹8.3 Cr (ROI -17%) — all below breakeven under current assumptions, which is exactly why a pilot precedes full deployment rather than a direct scale-up.